STEP 18
Map the Sales Process to Acquire a Customer

WHAT IS STEP 18, MAP THE SALES PROCESS TO ACQUIRE A CUSTOMER?

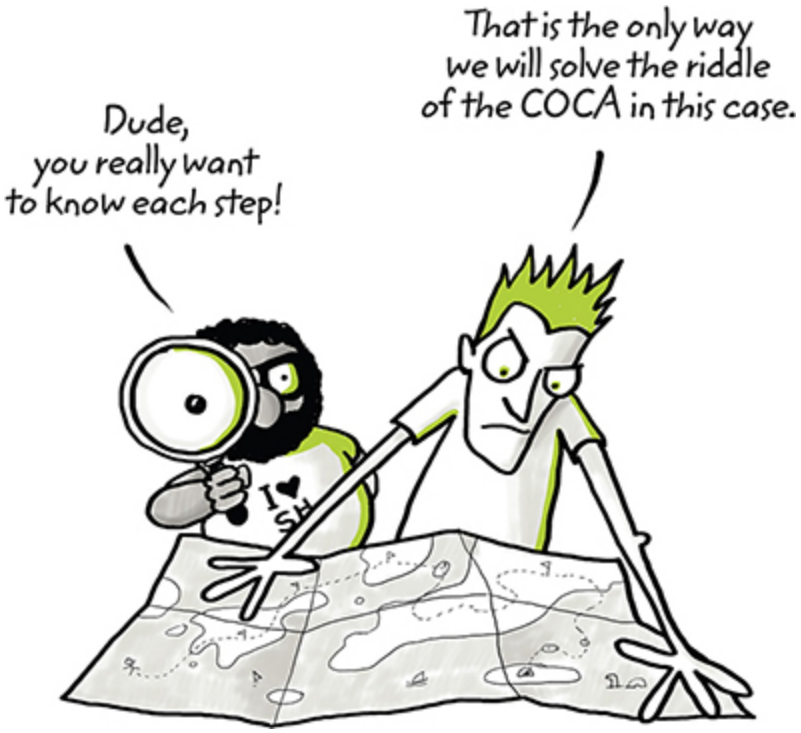
Visually show how you will create and fulfill demand for your product over the short term, the medium term, and the long term.

WHY DO WE DO THIS STEP, AND WHY DO WE DO IT NOW?

The sales process is a critical input to estimating the Cost of Customer Acquisition (COCA) in Step 19. The sales process, including selecting your sales channels, will allow you to understand the unit economics of your product and then adjust accordingly to increase profitability. You can intelligently map the sales process now that you have an estimate from Step 17 of the Lifetime Value (LTV), which helps indicate which sales methods are affordable and practical for your startup.

By the Book: See pages 195–201 of *Disciplined Entrepreneurship* for basic knowledge on this step.

See page 201–202 of *Disciplined Entrepreneurship* for an example of how a company addressed this step.



Figuring out how to generate demand and to fulfill it with a sales channel strategy is your next key decision.

PROCESS GUIDE

Now that you have a general range for what the LTV is going to be for your product, you can now start to focus on your sales strategy. In *Disciplined Entrepreneurship* I chose not to call it a channel strategy because the decision should be more thoughtful than a typical channel strategy, but most people still recognized it as a channel strategy. I won't fight this nomenclature too much, but I think of it as a "channel strategy plus." It is a dynamic go-to-market strategy to both create demand and then fulfill demand, which are two quite different processes.

There are four main categories of sales channels to consider:

Option	Pros	Cons
1. **Field Sales**: Direct salespeople who are employees of the company. They call on prospects in person at some point in the process. They provide high-touch connection and line of communication to the potential customer. Also known as "outside sales."	• Excellent for demand generation when creating new markets; may well be the only option for demand generation • High-touch approach creates excellent feedback loop • High-touch approach also generally creates deep customer loyalty	• Very expensive (salary, bonus, expenses) • Requires an LTV of $30K or likely higher • Hard to scale up as hiring them is hard and expensive and the success rate is unpredictable • Takes a long time to become productive • A challenge to manage
2. **Inside Sales:** Also known as "telesales" in the past, but today no longer just telephone sales reps. They use e-mail and other electronic communication to create and continue a dialogue with the customer, but do not visit the customer in person.	• Much cheaper than field sales • Maintain direct connection with prospects, potential customers, and customers • Able to get nuanced feedback from prospects because a human is in the loop • High productivity because of lack of travel	• Lower touch, resulting in less customer engagement and less demonstration of the company's commitment to the customer • Still expensive because the salesperson is interacting one-on-one with customers • Some products just can't be sold without an in-person demo or

Option	Pros	Cons
	• Good systems exist to further increase productivity and track progress of sales funnel and sales reps	meeting with the customer
3. **Internet Sales:** This is a general catch-all category for sales done by computers through automatically generated e-mails, big data analysis, social media, preference engines, etc. The key differentiator is that there is no human in the loop.	• Direct interaction with the customer • Ability above all others to systematically capture even more data on the customer and track their progress—as well as spot patterns and make intelligent recommendations • Lowest cost by far • Actually preferred by some prospects	• Low touch • Can't read some nuances that only humans can • Some prospects do not react well to it • Privacy considerations • Can be hard to build customer loyalty • Risk for high LTV prospects/customers that others who use the higher touch channels above will steal these valuable customers
4. **Third-Party Resellers:** These people sell your product but are not employees of your company. They include Value-Added Resellers (VARs),	• Instant geographic coverage • Easy to manage • Understand cultural context and have preexisting	• They own the customer, not you (very bad!) • Unlikely to have direct interaction with prospects, hence miss important

Option	Pros	Cons
distributors, stores, catalogues, independent sales agents, etc.	contacts in their databases • Lower cost than field sales • Don’t have to hire, fire, and manage salespeople • Good for quick demand fulfillment • Potential temporary solution • Potential good solution for a mature product	learning about customer needs • Poor at demand generation • Expensive compared to inside sales and Internet sales • Most likely low loyalty to you and your product (just another product in their portfolio)

Within each of these four categories, there can be many different variants, as well as hybrids across the categories. For instance, someone in field sales often spends a reasonable fraction of time on the phone, but their training and expertise is in face-to-face closing the sale, and their pay reflects that.

Other than those caveats, this table will be useful to start to frame your options because it will help you determine what sales strategies are affordable based on your LTV:

Estimated LTV	What you can afford for sales channels in the long term
~$30	Only Internet sales; no human can be in the loop.
~$300	Predominantly if not all Internet sales, with maybe a very small amount of inside sales for the most important prospects.
~$3,000	Mix of Internet sales and inside sales and maybe some third-party resellers, especially if the product is mature or requires low support.
~$30K	Mix of all channels, with heavy reliance on inside sales and judicious use of field sales on big accounts. Third-party resellers can play a role in this scenario for geographic coverage and quick scale-up.
~$300K	Likely led by field sales, with support from inside sales and some third-party resellers in selected areas for geographic coverage.
~$3M	Dominated by field sales, with other channels in a supporting role.
~$30M	The field sales representatives are the all-powerful dictators; other sales channels don't even look at highly qualified prospects or customers without their approval. Customer intimacy and professionalism is crucial in this scenario.

To map your sales process, you will start by determining for the short, medium, and long term what proportion of sales will come from different channels. Use the Sales Channels for the Short, Medium, and Long Term worksheet to define the periods of time and proportions, as well as sales goals to achieve during that period, and assumptions and risks involved. You will also define what milestones you need to reach during each period so that your company is prepared to shift to the sales strategy for the next period.

Short term, medium term, and long term are defined in large part on the progress you make on your product. In the short term, you are figuring out what your product is and creating demand; in the medium term you are refining your product and starting to produce

it in a repeatable fashion, fulfilling demand, and building the manufacturing and sales infrastructure you need to be successful; and in the long term, you are scaling your business. The key is that you define and understand what milestones allow you to shift your approach from the short-term sales channels to the medium term to the long term. Typically, short term will map to the first year from your LTV calculation, medium term the second year, and long term the third year and beyond, but this may differ if your product has significantly longer or shorter development cycles, such as new pharmaceutical development.

As is explained in more detail in *Disciplined Entrepreneurship*, the short term is where you will focus on demand generation and creating market awareness, and you will also still be iterating on your product and marketing, so field sales will be important despite its higher costs. As you progress through the medium term and then the long term, your sales channels should shift away from focusing on field sales, particularly for an LTV less than $1M in the medium term and less than $100K in the long term.

Next, you will take the sales funnel work you did in Step 13 and refine it into second draft sales funnels, one for each of the short-term, medium-term, and long-term time periods. Now that you know which sales channels are viable—and more important, not viable—for the long term, you have enough information to be much more specific than in your original draft from Step 13. Like everything, you will continue refining your sales funnels over time.

You'll also think through what techniques and actions you can use to maximize conversion between steps. Be creative and draw on the work you've done so far in the 24 Steps as well as ideas from other companies and industries. At the end of this chapter, I've provided an example from one of my student teams to inspire you.

A disclaimer: These worksheets are comprehensive and may be overdesigned for your situation. Or, if you have a complicated, multisided market, they may be underdesigned. Use common sense and customize this framework to fit your customer/product scenario. For instance, if you are business to consumer (B2C), some of this detail is not necessary, though I would argue it is still good for you to

go through all the details so that you fully understand the big picture. Knowledge is a good thing—if you have the time.

GENERAL EXERCISES TO UNDERSTAND CONCEPT

See the back of the book for answers to some of these questions.

1. **Personal experience with a consumer product:** Identify a product in your personal life that you enjoy buying. Quickly map the experience you had in going from having initial interest in the product to purchasing it. Why do you like the sales process so much? Which sales channels does the product's maker use? Which tactics are effective?

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   _____
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2. **Personal experience with a business product**: Do the same exercise in #1 but now with a product from your professional life. What are the differences?

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3. **Learning from negative experiences:** Now think of a product where you were particularly unhappy with the sales experience. What did you not like? What was fundamentally flawed in the sales process? How could it have been redesigned to benefit both the customer and the company selling the product?

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4. **LinkedIn example:** How does LinkedIn get new customers? How do they get customers to fill in their profiles? How do they encourage customers to increase the number of connections they have on the social network? Do customers ever speak to anyone who works at LinkedIn?

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5. **Private jet sales process:** Now imagine you were going to buy a private jet. (Nice!) What kind of sales process would you expect? Why?

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WORKSHEETS

Sales Channels for the Short, Medium, and Long Term

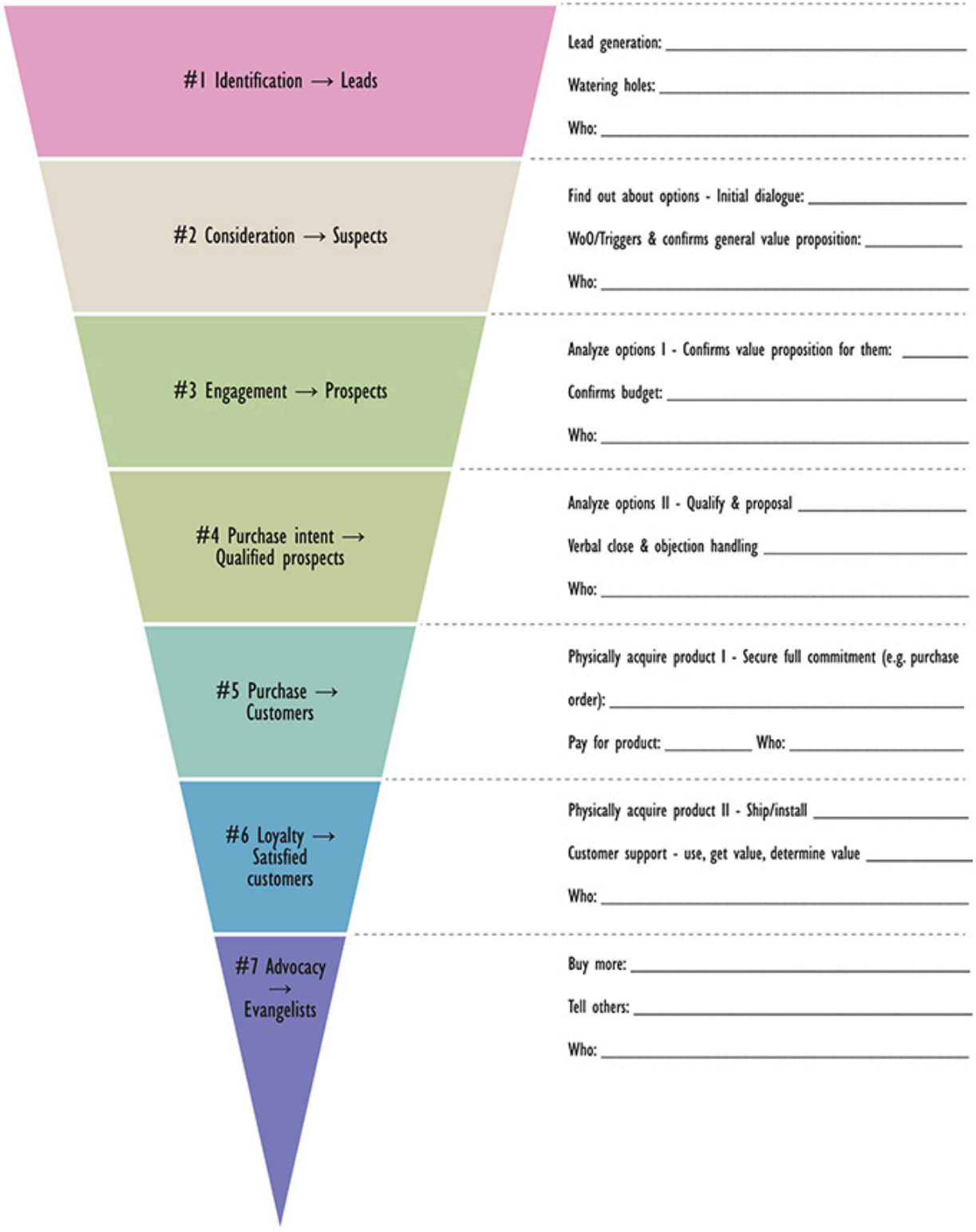
	Short Term—Initial Market Entry	**Medium Term—Gaining Market Traction**	**Long Term—Steady State**
How long—when does this time period start and end? (Include units—e.g., months, years.)			
What % of the sales (measured by revenue) for:			
- Field sales	_____%	_____%	_____%
- Inside sales	_____%	_____%	_____%
- Internet sales	_____%	_____%	_____%
- Third-party reseller	_____%	_____%	_____%
Key milestones for this time period, which, when achieved, indicate it is time to move to the next time period:	1. 2. 3.	1. 2. 3.	1. 2. 3.
Key assumptions:	1. 2. 3.	1. 2. 3.	1. 2. 3.
Highest risk factors:	1. 2. 3.	1. 2. 3.	1. 2. 3.
Summary for time period:			

2nd Draft Sales Funnel Inputs

		Short Term	Medium Term	Long Term
#1: Identification (Output: Leads)	How will you generate leads?			
	What are your customer's watering holes?			
	Who from the customer's DMU is involved in this part of the funnel?			
#2: Consideration (Output: Suspects)	How do you start the initial dialogue with your leads?			
	What windows of opportunity or triggers exist?			
	Who from the DMU is involved?			
#3: Engagement (Output: Prospects)	How do you determine whether your value proposition is appealing to the customer?			
	How do you determine whether your pricing is in line with the customer's budget?			
	Who from the DMU is involved?			
#4: Purchase Intent (Output: Qualified Prospects)	How do you qualify that the customer is ready to purchase, and how do you develop a proposal for the purchase?			
	How do you close the sale and handle customer questions/objections?			

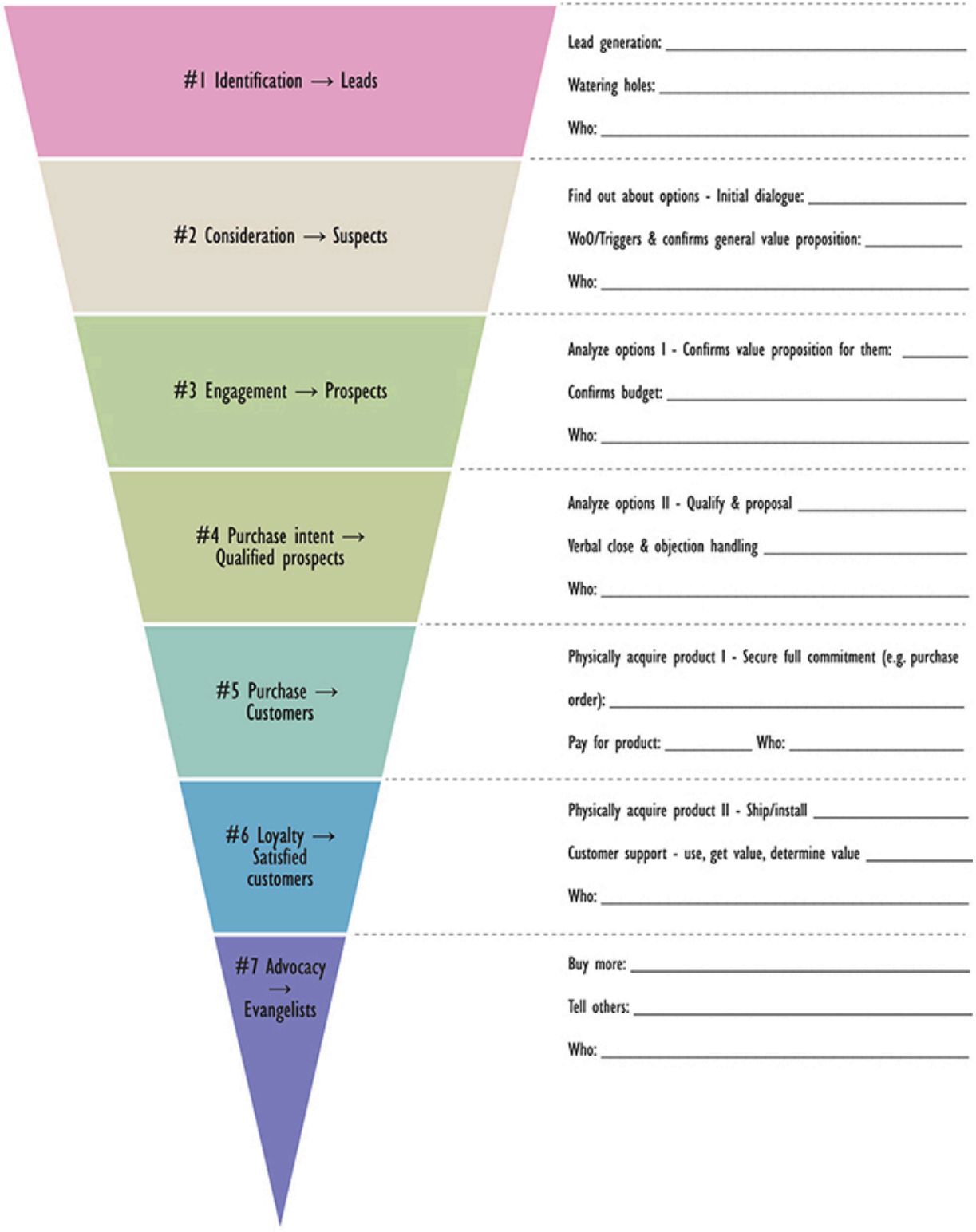
	Who from the DMU is involved?			
#5: Purchase (Output: Customers)	How do you secure full commitment from the customer to purchase your product?			
	How does your customer pay for your product? Who pays?			
	Who from the DMU is involved?			
#6: Loyalty (Output: Satisfied Customers)	How do you ship and install the product?			
	How do you provide support to the customer so they use and get the expected value out of your product?			
	Who from the DMU is involved?			
#7: Advocacy (Output: Evangelists)	How do you encourage the customer to buy more product?			
	How do you encourage the customer to tell others about the product, and how do you measure whether customers are telling others about your product?			
	Who from the DMU is involved?			

2nd Draft Sales Funnel with Actions for Short Term



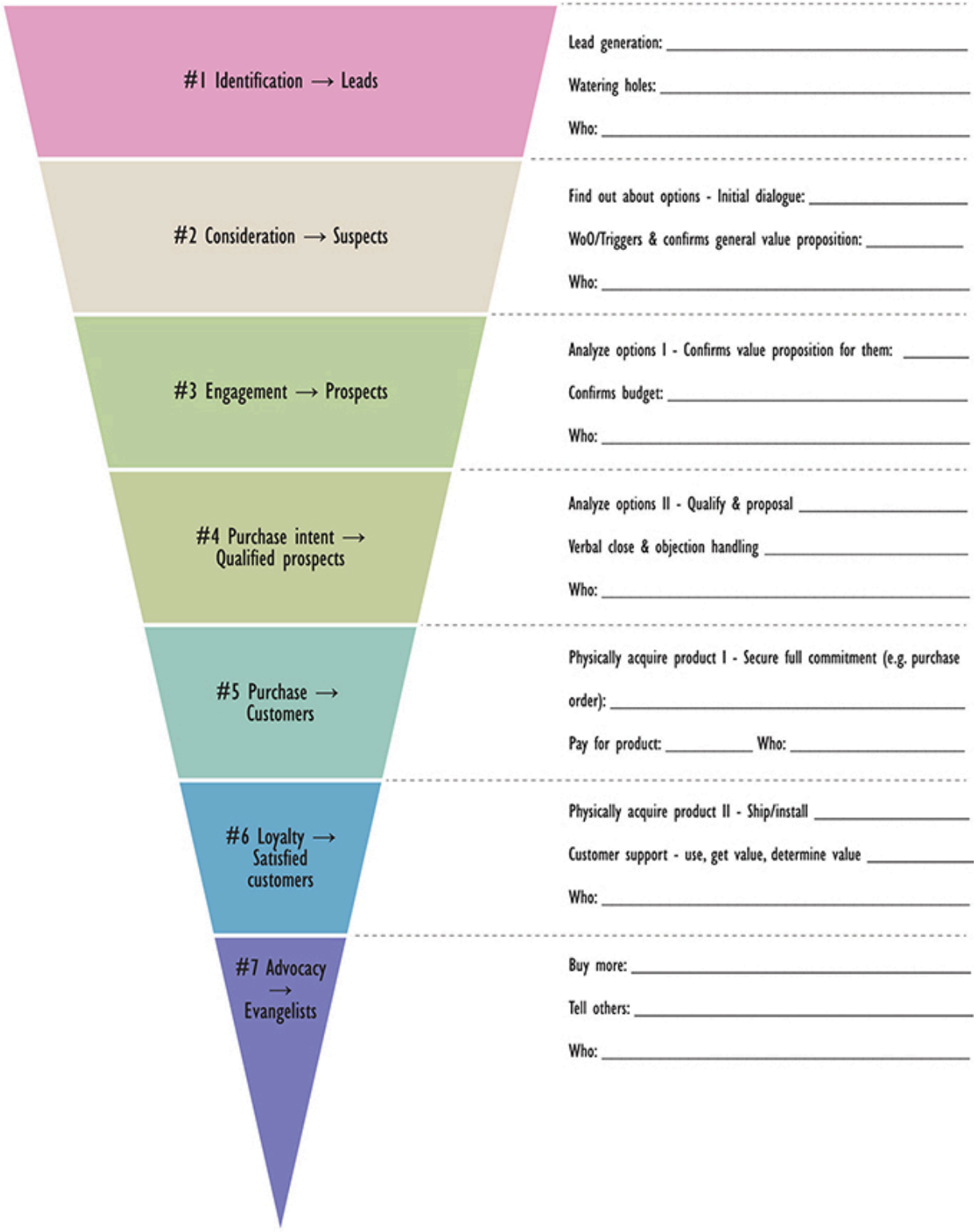
Describe the major differences between the short-term and medium-term sales funnels:

2nd Draft Sales Funnel with Actions for Medium Term



Describe the major differences between the medium-term and long-term sales funnels:

2nd Draft Sales Funnel with Actions for Long Term



Describe the major differences between the medium-term and long-term sales funnels:

Techniques and Actions to Maximize Yield Rate at Each Stage

Short Term: Summary of Techniques and Actions to Maximize Yield			
Stage in Funnel (starting at top)	**Technique(s)**	**How to Maximize Conversion**	**Done by Whom? When?**
#1—Identification (leads)			
#2—Consideration (suspects)			
#3—Engagement (prospects)			
#4—Purchase Intent (qualified prospects)			
#5—Purchase (customers)			
#6—Loyalty (satisfied customers)			
#7—Advocacy (evangelists)			

Medium Term: Summary of Techniques and Actions to Maximize Yield

Stage in Funnel (starting at top)	Technique(s)	How to Maximize Conversion	Done by Whom? When?
#1—Identification (leads)			
#2—Consideration (suspects)			
#3—Engagement (prospects)			
#4—Purchase Intent (qualified prospects)			
#5—Purchase (customers)			
#6—Loyalty (satisfied customers)			
#7—Advocacy (evangelists)			

Long Term: Summary of Techniques and Actions to Maximize Yield

Stage in Funnel (starting at top)	Technique(s)	How to Maximize Conversion	Done by Whom? When?
#1—Identification (leads)			
#2—Consideration (suspects)			
#3—Engagement (prospects)			
#4—Purchase Intent (qualified prospects)			
#5—Purchase (customers)			
#6—Loyalty (satisfied customers)			
#7—Advocacy (evangelists)			

Risk Factors

What are your three biggest risk factors in your go-to-market plan? How do you intend to mitigate those risks? What metrics will you use to monitor them and intervene as needed? (Remember, things never go exactly the way you want them to or as you plan them!)

1. **Risk factor #1 and mitigation plan:**

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   Metrics to watch:

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   _____

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_____

Potential intervention strategy:

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2. **Risk factor #2 and mitigation plan:**

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Metrics to watch:

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Potential intervention strategy:

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3. **Risk factor #3 and mitigation plan:**

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_____

Metrics to watch:

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Potential intervention strategy:

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EXAMPLE

GearUp was a class project by Anusha Paliwal, Jillian Ardrey, and Monique Guimond—all MIT Sloan MBAs from the class of 2017. They are all avid outdoors types, and they developed a plan for a new venture that would offer an annual subscription service to provide active young traveling professionals with high-quality ski, snowboard, camping, and backpack gear delivered to them when they went on vacations. Here is how they explained how they would maximize conversion between stages of the funnel, and how they defined their milestones for moving from the short-term to medium-term to long-term sales strategies.

Sales & Marketing Efforts (1)



Technique	How Maximize Conversion?	Done by Whom, When?
Inbound marketing	Create content (blog, video) about how to travel and get outside cheaply, best destinations to add onto your work trip, destinations close to major airports, teaching outdoor skills –which target market will be searching. Buy relevant Google search terms. Conduct continuous A/B testing with content and search terms to optimize.	Marketing personnel Short, medium & long term
SEO addressing pain point	Buy Google search terms to capture potential customers searching for solutions to "how to pay less to travel with gear" or "rentals with more selection and better quality" – as our product is a solution for their pain point. Conduct continuous A/B testing to optimize.	Marketing personnel Short, medium & long term
Social media marketing	Connect inbound marketing content to Facebook & Twitter company pages and place ads on Facebook. A/B testing to optimize Facebook ads.	Marketing personnel Short, medium & long term
Articles and ads in blogs / Online magazines	Work with well-known outdoor, travel and traveling professional bloggers, as well as key magazines in these spaces, to get coverage through posts/articles. Advertise on sites of key magazines. Maximize conversion by proper targeting of sites where key user spends time.	Marketing personnel Founders (for interviews) Short, medium & long term
Field marketing	Push unique value-add of our product and engage with potential customers for advice on product iteration and optimization. Buy booths at huge outdoor events (e.g. Warren Miller premier, ski expos) and sponsor select social events (e.g. beer, music fests) in key cities and outdoor destinations. Attend relevant meetup and club events in key cities.	Founders (Short term, as interaction and feedback from customers critical at beginning) Marketing personnel (medium & long term) Don't plan to ever conduct enough field work to justify hiring full-time salesperson

Sales & Marketing Efforts (2)



Technique	How to Maximize Conversion?	Done by Whom, When?
Key travel partnerships (e.g. Airbnb, ski resorts, Expedia)	Partner with sites where potential customers go to book lodging, etc., for trips to become part of their booking process and/or advertise. Maximize conversion by partnering with the largest players where most of our potential customers book their travel. Non-hands on marketing technique which can yield strong results but will take capital, so not good for short term. Need to run pilot tests to prove ROI for this expensive marketing option.	Founders (critical relationship requiring high-touch, high level support) Medium & long term
Special pricing during windows of opportunity	Will have discounted pricing structures in place in the short term to drive growth. Price discounts will be marketed the month before each sport season starts, the holiday season, and when gear typically goes on sale at the end of each season and will require a person to book within 24 hours of receiving promo code to get discount. We will also have special pricing for our gear shop (selling discounted gear) spread via email marketing to current customers once we reveal this product feature in 2017.	Marketing personnel Short & medium term Long term, should be industry standard and not need to discount; however, re-evaluate monthly based on competition.
Ambassador Program	Current subscribers get account credits or can be entered to win trips for every friend that they get to sign up for our subscription service with their referral code. We will then contact top adopters of our referral service and provide them with marketing collateral and invite them to help us market to local meetup groups and clubs; they will get credit for everyone they provide their referral code to in these groups who subscribes to our product. This incentivization will accelerate WOM and increase conversion of those who hear about our product. Will increase % of people participating in program and referring friends through email marketing campaigns.	Marketing personnel Short, medium & long term
User Feedback Program (for optimal product selection and operations)	Critical to ensure that our Core is maintained: that we can reliably provide our customers with the gear they want and deliver it when they want it. If we don't focus on continual iteration based on customer feedback, our churn rate will rise. Will increase % of people participating through email marketing campaigns.	Marketing personnel Short, medium & long term

Evolving Sales Process



	Short Term	Medium Term	Long Term
Phase Length	*Year 1*	*Year 2*	*Year 3 and onward*
Phase Goal	*This phase will continue until word of mouth becomes significant and product selection/delivery method is optimized and proven (our core is solid). Then we will move from demand creation to demand fulfillment in the Medium Term.*	*This phase will focus on acquiring new members without direct involvement through pushing our Ambassador Program. We will continue our User Feedback Program through all phases to ensure our core stays strong. We will field interview requests and contribute to articles written about us by key media. We will roll out our gear shop (for buying discounted gear) this year and will focus on converting current subscribers to purchasers.*	*This phase will focus on acquiring new members without direct involvement through pushing our Ambassador Program and leveraging strategic partnerships. We will continue our User Feedback Program through all phases to ensure our core stays strong. We will still drive some basic marketing. We will re-evaluate our product vs. competition on a continual basis and expand into new offerings.*

This has been another intense chapter, but you are building up great knowledge of your business; so not only do you know if it is worth doing, but you also have a plan to make it great. Just as important, you are understanding the underlying drivers so you can intelligently and quickly identify and make adjustments once the business starts. It is hard work, but it will pay off. The only thing harder is trying to launch a new product and not having a good plan. That is not only more work in the end, it is much more frustrating. Hang in there, you are about to pull it all together and launch this rocket ship.

STEP 19
Estimate the Cost of Customer Acquisition (COCA)

WHAT IS STEP 19, ESTIMATE THE COST OF CUSTOMER ACQUISITION (COCA)?

Estimate the total marketing and sales expense in a given period to get new customers and divide that total expense by the number of new customers. This will be the marketing and sales expense required to acquire one additional average customer for the given time period.

WHY DO WE DO THIS STEP, AND WHY DO WE DO IT NOW?

The unit economics are a simple but effective indicator for how sustainable and attractive your business will be at any point in time and, maybe most important, as it scales. You just completed a meaningful go-to-market plan in Step 18, and that is the critical input to estimate your COCA.

By the Book: See pages 203–211 of *Disciplined Entrepreneurship* for basic knowledge on this step.

See page 211–217 of *Disciplined Entrepreneurship* for examples of how different companies and teams have addressed this step.